

Executive Summary

Nassau Candy Distributor - Product Line Profitability & Margin Performance, Jan 2024 - Dec 2025

\$141,784	\$93,443	65.9%	95.1%	7.7%
Sales	Gross profit	Gross margin	Profit from top 5 products	Lowest product margin (Kazookles)

The question

Which products and divisions truly make money, and where is margin at risk? We analysed 10,194 order lines across 15 products and 3 divisions.

What we found

- **The business is healthy but narrow.** Five Wonka Bar products generate 95.1% of gross profit and 92.9% of revenue. Dependency risk is rated **high**: the top three products alone earn 59.3% of profit.
- **Sales leaders are also profit leaders.** The Wonka Bars earn 65-71% margins, so high sales are not hiding low profit among the main products.
- **One product is a real margin problem.** Kazookles earns 7.7%: its cost is 92.3% of sales and it makes just \$0.25 per unit.
- **Margins do not move over time or by location.** Prices and costs are fixed per product, so margin risk comes from which product is sold, not from timing, region or shipping mode.
- **Growth was healthy.** 2025 sales rose 44.6% and profit 44.9% over 2024, with margin unchanged (about 66%).
- **Hidden opportunity:** Lickable Wallpaper earns \$10 profit per unit, the highest of any product, and is the only non-chocolate product with a meaningful profit share (4.2%).

What we recommend

- **1. Protect the Wonka Bar line:** secure supply at the two chocolate factories (Lot's O' Nuts and Wicked Choccy's) and avoid margin-eroding discounts.
- **2. Decide on Kazookles this quarter:** raise price about 15% (to roughly \$3.75), or cut unit cost about 13%, or move it to a discontinuation review. The profit at stake is small, so it is mainly a focus decision.
- **3. Grow a second profit source:** test promotion and wider distribution of Lickable Wallpaper to reduce dependency on chocolate.
- **4. Monitor monthly:** use the dashboard's margin flags and dependency indicators; review Fun Dip, Nerds and SweeTARTS costs afterwards (very small products).
- **5. Fix the data:** Ship Date values are unusable, and price/cost history is not recorded, which limits logistics and price analysis.

Caveats

Margins are gross margins (manufacturing cost only). Only 15 products and two years of data were available, and results for very small products are unstable. Thresholds used for flags are analytical judgements and can be adjusted in the dashboard code.

Live dashboard: <https://candy-margin-analysis.streamlit.app/> | Code: https://github.com/radhikatech006-ui/Nassau_candy_dashboard